



IgniteX CONCEPT BOOKLET

Module 2

Lesson 1: Identify Customer Segments

Context:

Now that you have developed a macro industry perspective and analyzed your problem statement, it is time to delve deeper into understanding your target audience – your customer segment. As an entrepreneur, especially one with limited resources, it's critical to segment the market to clearly identify exactly whom your business will serve. This process of defining your customer segment is pivotal as it forms the foundation of your entire business strategy. It involves knowing who will most benefit from and engage with your product or service, and it can also help unveil new business opportunities.

Program overview,

and your **learning journey** over 13 weeks

1. Problem Identification	2. Customer Identification & Needs Validation	3. Solution Idea Generation
Week 1	Weeks 2-3	Week 4
■ Orientation ■ Develop Macro Industry-Problem view ■ Discover 'Real World' Problems ■ Analyze Problems	■ Identify customer segments ■ Outline 'jobs-to-be-done' ■ Develop Initial Customer Personas ■ Understand Customer Validation ■ Validate Customer-Problem fit ■ Refine Customer Personas & Problem	■ Understand Ideation techniques ■ Generate Solution Idea ■ Map Solution-Problem fitment
4. Opportunity & Competition Mapping	5. Prototype Development & MVP	6. Opportunity Feasibility Assessment & Sizing
Week 5	Week 6	Week 7
■ Identify & map Global competitors ■ Review Industry Trends ■ Size the Market	■ Understand Prototypes & MVP ■ Build a Prototype ■ Use Prototype for early Validation	■ Determine your Relative Market Position ■ Estimate Opportunity Size and its Scope
7. Business Modelling	8. Marketing & Sales Strategy	9. Financial Management for Profitability
Week 8	Week 9	Week 11
■ Understand Revenue Model ■ Understand Lean Canvas ■ Build the LC for your Startup	■ Understand Marketing & Sales ■ Understand & Define Go-To-Market (GTM) approach ■ Understand Sales Process	■ Understand Startup Costs ■ Understand Profitability ■ Getting Started with Financial Planning ■ Understand & Explore Bootstrapping options
10. Team & Talent Requirement	11. Orientation for Scale	12. Venture Idea Feasibility Presentation
Week 12	Week 13	Week 14
■ Building a Founding team (A Team) ■ Founding team members (Co-Founders & Mentors) ■ Defining your Team Requirements	■ Thinking Beyond the Prototype - Scale Opportunity & Orientation ■ Getting Story Telling Right ■ Pitch preparation	■ Practice Pitch ■ Final Pitches

Concepts covered in this lesson:

Customer Segmentation:

- **Definition and Importance:** Explore segmentation and recognize its role in understanding the market landscape.
- **Benefits of Segmentation:** Analyze the advantages of effectively segmenting your customer base.

Types of Customers:

- **Distinguishing Customer Segments:** Identify key differences among customer segments.
- **Targeting a Niche Market:** Determine how to pinpoint and target the segment that best aligns with your business goals

Segmentation Criteria:

- **Criteria for Market Segmentation:** Examine the criteria used to segment markets.
- **Consumer Group Targeting:** Actively identify and engage specific consumer groups.

End- Users vs Buyers:

- **Differentiating Users and Buyers:** Learn to differentiate between the actual users of your product and the buyers who purchase it.
- **Enhancing Customer Experience:** Develop strategies to enhance customer experiences based on the distinction between users and buyers.

After completing this lesson, you will be able to:

1. Identify your customer segment and gain deeper clarity on who is facing the problem you want to solve.
2. Be clear about who will pay you, and who will use your solution.
3. Understand how to make more informed decisions about business strategies, which marketing channels to use, and what messaging to use for each customer segment.

Steps for you to take:

1. Identify your primary customer segment type.
2. Explore and identify broad characteristics that are common among the primary segments.
3. Identify secondary customer segments.

What is segmentation?

Segmentation refers to the process of dividing a heterogeneous market into smaller, more homogeneous groups based on certain criteria. The purpose of segmentation is to better understand and target specific groups of consumers with tailored offerings and marketing strategies that are more likely to resonate with their needs, preferences, and behaviors.

Who is a customer?

A customer is an individual or organization that purchases a product or service from a business.

What are customer segments?

Customer segments are distinct groups of people or entities sharing similar traits or needs, allowing businesses to target and serve them more effectively.

Customer Centricity

“The Customer is Always Right” is an adage, coined in the 1900s by Harry Gordon Selfridge, founder of the Selfridges Group, one of the top three retailers of the early 1900s.

‘The 5 Powerful Reasons Why the Customer is Always Right’ - SOCO the Sales Optimizing Company

1. Customers Make or Break a Business

“Customers can significantly impact the success or failure of a business ... if you don’t – your competitor will...”

2. Backlash is Dangerous

“Backlash can be the death of a business, especially if it takes place online. Just one bad review can be a very costly mistake to fix.”

3. Happy Customers Multiply

“Happiness is contagious...Your customer base will grow organically as loyal customers recommend you to their family, friends, or colleagues, leaving you with more time to focus on your loyal customers.”

4. It's a Benchmark for Customer Service Excellence

"The customer service experience that you provide is responsible for either customer loyalty or customer loss...communication is key to understanding your customers' challenges in providing a solution."

5. New Revenue Avenues

"... gaining new customers' demands a huge investment of time, money, and patience, why not get ahead in understanding your customers' needs to explore more avenues of revenue."

See HOW it holds true globally even today!

"There is only one boss – the customer. And he can fire everybody in the company from the chairman on down, simply by spending his money somewhere else." ~ **Sam Walton, Walmart**

"Your most unhappy customers are your greatest source of learning" ~ **Bill Gates, Microsoft**

"Customers don't know what they want until you show it to them" ~ **Steve Jobs, Apple**

It is said that Amazon's CEO Jeff Bezos leaves one seat open at the conference table and states that the seat is occupied by the *"the most important person in the room – the customer"*.

"We see our customers as invited guests to the party, and we are the hosts" ~ **Jeff Bezos**

Segmentation Criteria

The purpose of segmentation is to better understand and target specific groups of consumers with tailored offerings and marketing strategies that are more likely to resonate with their needs, preferences, and behaviors.

Here are 4 basic types of segmentation commonly used:

- 1. Demographic Segmentation:** This involves dividing the market based on demographic factors such as age, gender, income, education, occupation, marital status, and family size. Demographic segmentation provides insights into the basic characteristics of consumers within different groups.
- 2. Psychographic Segmentation:** Psychographic segmentation categorizes consumers based on their lifestyles, attitudes, values, beliefs, personality traits, and interests. This approach helps marketers understand the motivations and aspirations driving consumer behavior.
- 3. Behavioral Segmentation:** Divides consumers based on their purchasing behavior, usage patterns, brand loyalty, benefits sought, and other actions related to the product or service. This type of segmentation focuses on understanding why and how consumers make buying decisions.
- 4. Geographic Segmentation:** Involves dividing the market based on geographic boundaries such as region, country, city size, climate, population density, or cultural differences. This approach recognizes that consumer needs and preferences can vary significantly based on location.

Types of Customer Segments

‘WHO’ takes precedence over ‘HOW’ when it comes to customers in the early stage of building a startup or a new project. It goes beyond just spotting a group of potential users, to knowing them more intimately including their daily routines to make a product that truly fits their life. E.g., For a fitness app, figure out if your users want a fast workout in the morning or a chill one at night so you can build that which they will use. ‘Customer intimacy’ is today a well-defined strategy that ventures of all sizes use today as it helps to reduce instances of a bad product-market fit or for better customer service.

There are two different ways to understand your Customer Types or Segments:

Primary – Those customers that contribute to the main earnings in the business

Secondary – These are important and could become a key earner category over a period.

B2B – Business selling to another Business.

B2C – Business Selling to an individual customer

B2G – Business selling to Government entities or departments.

1. Primary and Secondary Customers

For example, if you are launching a Tutoring Service, your Primary Customers could be high schoolers needing tutoring for college exams. They're your big earners. Secondary Customers, like college students needing extra help, are extra but could grow later.

2. B2C, B2B, B2G Customers

B2C (Business to Customer) businesses sell straight to customers. They track what folks like/need and buy, and find value in reaching them directly. In the Case of the Tutoring Service directly reaching college students or their parents would be B2C. Tutoring Services could also reach customers via partnerships with Schools and Colleges.

B2B (Business-to-Business):

B2B companies sell products or services directly to other businesses rather than to individual consumers. These transactions often involve larger quantities and more complex sales processes due to the specific needs and operations of business clients.

Example of B2B: A cybersecurity firm that sells to other businesses is a typical B2B company. These companies often have lengthy sales discussions to fully understand their clients' unique tech and legal requirements. For instance, a cybersecurity firm might spend significant time learning about a financial company's data security needs to tailor their services specifically for them.

B2G (Business-to-Government):

B2G firms sell products or services to various government agencies. These sales are typically governed by strict regulations and require adherence to specific procurement processes, making them more

complex and structured than typical business-to-consumer transactions.

Example of B2G: A software development company specializes in creating data management systems for government agencies. This firm must understand and comply with the government's stringent security protocols and procurement rules to effectively bid and secure contracts for providing software solutions that help manage public data securely and efficiently.

Understanding End Users vs. Buyers

End Users

One Who USES your product

Tutoring Services example:
College and School students will be the end users

Buyers

One who BUYS your product.

Tutoring Services example:
Parents of College and School Students will make the buying decision and spend the money to buy the product for use by their children.

Balancing needs:

Recognizing the key differences between end-users and buyers helps us sharpen your Problem Validation. When designing a solution, you must primarily address the needs of the users in its functional value proposition. For example, in the Tutoring Services, the product must enable students to learn effectively and efficiently and engage and

interest students to learn. However, depending upon the target segment you might have to ensure that the pricing of your product is affordable to the parents of the students that you are targeting for the product to be sold.

Call-To-Action

Complete Venture Activity 2.1- Identify Customer Segments

- 1. Create a customer overview: Develop one primary customer segment and 3 secondary customer segments**
- 2. Identify your primary customers' characteristics based on the basic segmentation criteria.**
- 3. Specify whether users are paying or using the service for free.**